(10) Income Taxes

The following table shows the components of the income tax (provision) benefit from total operations (in thousands):

	Years ended June 30,		
	2009	2008	2007
Current income tax provision	$ 738	$(1,413)	$ (811)
Deferred income tax provision	(7,622)	(3,493)	(942)
Total income tax provision	**$(6,884)**	**$(4,906)**	**$(1,753)**
Continuing operations provision	$(7,427)	$(4,674)	$(1,215)
Discontinued operations (provision) benefit	543	(232)	(538)
Total income tax provision	**$(6,884)**	**$(4,906)**	**$(1,753)**

The following table shows the components of the income tax (provision) benefit applicable to continuing operations (in thousands):

	Years ended June 30,		
	2009	2008	2007
Current:			
Federal	$ 319	$ (305)	$ (3)
State	349	(1,076)	(778)
Total	**668**	**(1,381)**	**(781)**
Deferred:			
Federal	(6,145)	(3,110)	(86)
State	(1,950)	(183)	(348)
Total	**(8,095)**	**(3,293)**	**(434)**
Total income tax provision	**$(7,427)**	**$(4,674)**	**$(1,215)**

The income tax (provision) benefit differs from the amount computed by applying the statutory U.S. federal income tax rate of 35% to income (loss) from continuing operations before income taxes and minority interest as follows (in thousands):

	Years ended June 30,		
	2009	2008	2007
Federal income tax provision at statutory rate	$(5,243)	$(3,217)	$ (208)
State taxes, net of federal tax benefit	(2,330)	(1,369)	(831)
Wage tax credits	970	—	—
Change in valuation allowance	449	—	—
Disallowed interest on Senior Discount Notes	(624)	(551)	(486)
Executive compensation	(807)	(691)	(158)
Change in reserve estimates	(158)	1,067	232
Minority interest	563	284	486
Meals and entertainment	(88)	(71)	(54)
Legislative expenses	(157)	(114)	(151)
Goodwill impairment	—	—	(43)
Other, net	(2)	(12)	(2)
Total income tax provision	**$(7,427)**	**$(4,674)**	**$(1,215)**

The following table summarizes the components of the Company's deferred tax assets and liabilities (in thousands):

	As of June 30,	
	2009	2008
Deferred tax assets:		
Net operating loss carryforwards	$33,561	$ 37,723
Tax credit carryforwards	2,136	1,791
Capital loss carryforwards	—	20,411
Insurance claim reserves	10,545	11,135
Estimate for uncompensated care	12,000	18,133
Settlements	1,433	1,193
Compensation and benefits	2,149	2,866
Deferred revenue	1,511	1,691
Interest expense	10,964	8,079
Joint venture interest	482	677
Other	4,138	2,839
Deferred tax assets	**78,919**	**106,538**
Deferred tax liabilities:		
Accelerated depreciation and amortization	(4,678)	(3,078)
Deferred tax liabilities	**(4,678)**	**(3,078)**
Net deferred tax assets before valuation allowance	74,241	103,460
Less: valuation allowance	(7,531)	(30,424)
Net deferred tax asset	**$66,710**	**$ 73,036**

The Company primarily recognizes deferred income tax expense as the Company utilizes its net operating loss carryforwards to reduce its federal and state taxes currently payable and the associated deferred tax benefits are realized. As of June 30, 2009, the Company's net operating loss carryforwards for certain significant taxing jurisdictions have either been fully utilized or have expired. As a result, current state income tax expense has increased relative to prior years.

As of June 30, 2009, the Company had net operating loss carryforwards for federal income tax purposes of approximately $72.9 million, which expire in 2014-2024 and state net operating loss carryforwards of approximately $198.3 million, which expire in 2009-2028. The Company had minimum tax credit carryforwards of $1.9 million for federal income tax purposes. These credits can be carried forward indefinitely, but may only be used to the extent that regular tax exceeds the alternative minimum tax in any given year. The Company also had Federal General Business Credit carryforwards of $0.3 million which expire in 2026-2028.

As required by GAAP, management assesses the recoverability of the Company's deferred tax assets on a regular basis and records a valuation allowance for any such assets where recoverability is determined to be unlikely. The Company's evaluation of its valuation allowance against certain state deferred tax assets resulted in a release of the valuation allowance for two states. The Company has determined that realization of these deferred tax assets is more likely than not based on past results, projected future results, and the tax laws of these jurisdictions. The valuation allowance release resulted in a benefit of $0.4 million for fiscal 2009. The Company maintains a valuation allowance of $7.5 million for those net operating loss carryforwards that management currently expects will expire prior to utilization.

Pursuant to Internal Revenue Code Section 382, if the Company underwent an ownership change, the NOL carryforward limitations would impose an annual limit on the amount of the taxable income that may be offset by the Company's NOL generated prior to the ownership change. If an ownership change were to occur, the Company may be unable to use a significant portion of its NOL to offset taxable income.

The income tax provision for fiscal 2009 reflects a $1.0 million benefit for wage tax credits recorded in the fourth quarter. These credits relate to the Company's participation in Federal and state wage tax incentive programs in the state of New York from 2002 to 2008.

In June 2006, the FASB issued Interpretation No. 48, *Accounting for Uncertainty in Income Taxes—an Interpretation of FASB Statement No. 109* ("FIN 48"). FIN 48 clarifies the accounting for uncertainty in income taxes recognized in an enterprise's financial statements in accordance with SFAS No. 109, *Accounting for Income Taxes*. FIN 48 prescribes a recognition threshold and measurement attribute for the financial statement recognition and measurement of a tax position taken or expected to be taken in a tax return. FIN 48 also provides guidance on derecognition, classification, interest and penalties, accounting in interim periods, disclosure, and transition.

The Company adopted the provisions of FIN 48 as of July 1, 2007. The adoption of FIN 48 resulted in a $12.8 million cumulative effect adjustment to retained earnings. As of the date of adoption, the Company's unrecognized tax benefits totaled approximately $34.1 million, $30.4 million of which would favorably impact the Company's effective tax rate if subsequently recognized. As of June 30, 2009, the Company had unrecognized tax benefits totaling approximately $34.1 million, $30.5 million of which would favorably impact the Company's effective tax rate if subsequently recognized.

A reconciliation of the beginning and ending amount of unrecognized tax benefits is as follows (in thousands):

	Year Ended June 30,	
	2009	2008
Unrecognized tax benefits balance at beginning of fiscal year	$34,111	$34,075
Additions for tax positions taken in current periods	70	18
Additions for tax positions taken in prior periods	—	713
Reductions for tax positions taken in current periods	(5)	—
Reductions for tax positions taken in prior periods	(20)	(694)
Reductions for lapses of statute of limitations	(57)	(1)
Unrecognized tax benefits balance at end of fiscal year	**$34,099**	**$34,111**

The Company recognizes potential accrued interest and penalties related to unrecognized tax benefits as a component of income tax expense. Accrued interest and penalties as of June 30, 2009 and 2008 were approximately $0.5 million. Approximately $0.1 million of interest and penalties were recorded for both the years ended June 30, 2009 and 2008, respectively. To the extent interest and penalties are not assessed with respect to uncertain tax positions, amounts accrued will be reduced and reflected as a reduction of the overall income tax provision.

The Company and its subsidiaries are subject to the following significant taxing jurisdictions: U.S. federal, Arizona, California, Florida, Indiana, New York, Ohio and Tennessee. The Company has had net operating losses in various years for Federal purposes and for many states. The statute of limitations for a particular tax year for examination by the Internal Revenue Service is generally three years subsequent to the filing of the associated tax return. However, the Internal Revenue Service can adjust net operating loss carryovers up to three

years subsequent to the last year in which the loss carryover is finally used. Accordingly, there are multiple years open to examination. The statute of limitations is generally three to four years for many of the states where the Company operates. The State of New York has begun an examination of the Company's New York franchise tax returns for the years ended June 30, 2005 through 2007. The Company does not expect the result of this audit to significantly change the Company's total unrecognized tax benefits in the next twelve months, but the outcome of tax examinations is uncertain, and unforeseen results can occur. The Company is currently not under income tax examination in any other tax jurisdictions.

The Company anticipates a reduction of $0.1 million in the total amount of unrecognized tax benefits during the next twelve months as a result of the lapsing of the statute of limitations related to a state tax position.